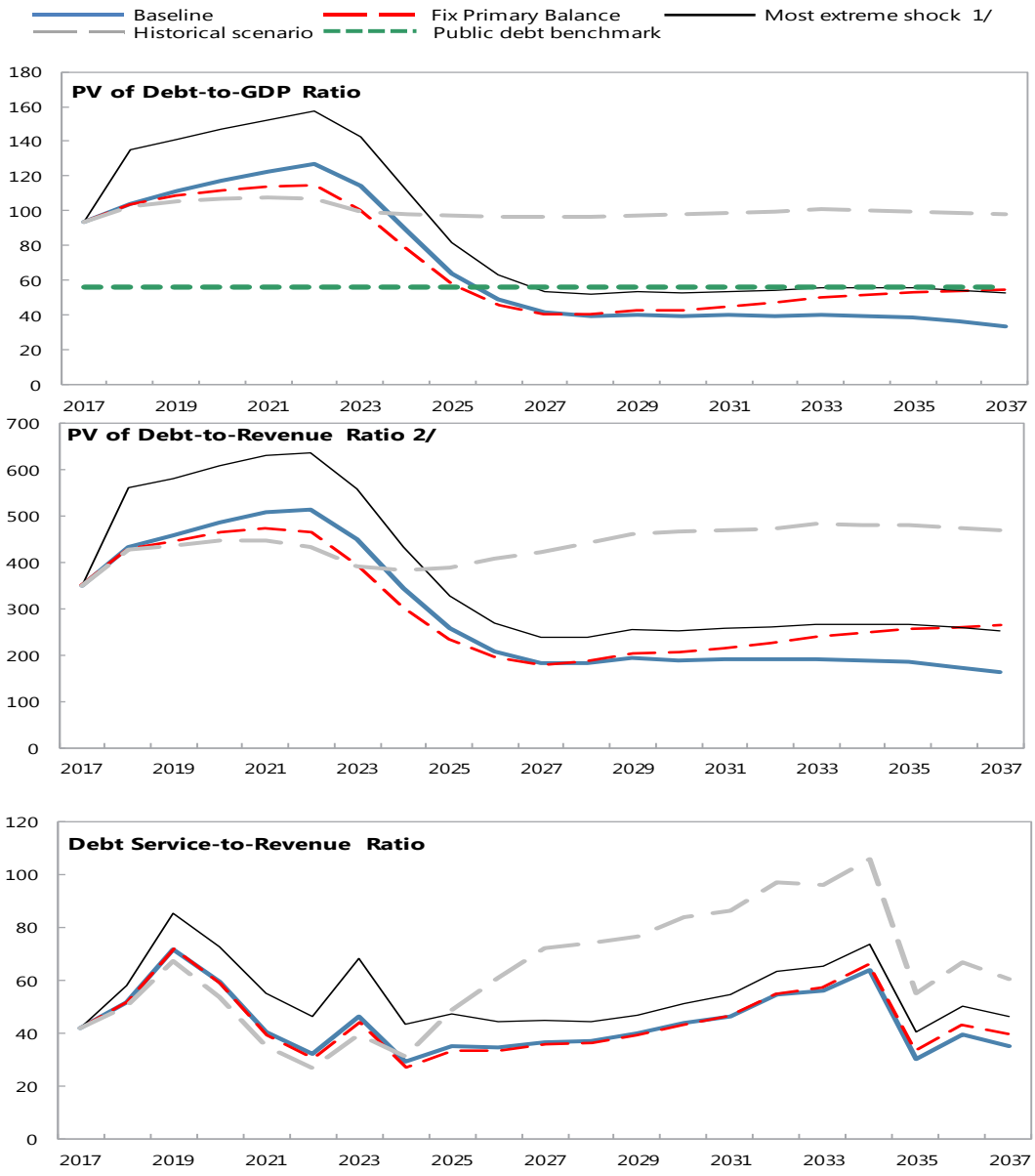
Figure 2. Mozambique: Indicators of Public Debt Under Alternative Scenarios, 2017-2037[1]



Sources: Mozambique authorities; and IMF staff estimates and projections.

[1] The most extreme stress test is the test that yields the highest ratio on or before 2027.

[2] Revenues are defined inclusive of grants.

©International Monetary Fund. Not for Redistribution

Table 3. Mozambique: Public Sector Debt Sustainability Framework, Baseline Scenario, 2014-2037

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2014	2015	2016	Average 5/	Standard Deviation 5/	2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	62.4	88.1	128.3			112.0	121.8	130.1	136.7	143.0	149.3		48.7	38.7	
of which: foreign-currency denominated	55.8	76.4	103.7			85.2	95.3	101.3	106.0	110.6	114.3		33.1	28.2	
		0.9	0.8			0.8	0.8	0.8	0.8	0.8	0.8				
Change in public sector debt	9.2	25.7	40.2			-16.4	9.9	8.3	6.6	6.3	6.2		-9.2	-2.5	
Identified debt-creating flows	11.1	19.9	32.0			-26.3	1.2	4.4	3.6	3.1	3.4		-9.9	-2.3	
Primary deficit	10.0	6.3	5.0	4.5	2.3	1.7	2.7	4.1	4.3	5.1	5.6	3.9	-0.5	-1.7	0.0
Revenue and grants	31.8	28.1	26.1			26.8	24.1	24.4	24.1	24.1	24.7		22.7	20.9	
of which: grants	4.3	3.0	2.1			1.6	1.3	1.2	0.7	0.6	0.6		0.1	0.0	
Primary (noninterest) expenditure	41.8	34.4	31.2			28.6	26.8	28.5	28.4	29.2	30.3		22.2	19.2	
Automatic debt dynamics	1.1	13.6	26.9			-28.0	-1.5	0.3	-0.7	-2.0	-2.2		-9.4	-0.6	
Contribution from interest rate/growth differential	-3.6	-3.3	-2.5			-3.6	-1.5	0.3	-0.7	-2.0	-2.4		-9.4	-0.6	
of which: contribution from average real interest rate	0.1	0.5	0.7			0.1	1.7	3.3	2.3	1.0	0.7		0.0	0.1	
of which: contribution from real GDP growth	-3.7	-3.9	-3.2			-3.7	-3.2	-3.0	-3.0	-3.0	-3.1		-9.4	-0.8	
Contribution from real exchange rate depreciation	4.7	17.0	29.4			-24.5	0.0	0.0	0.0	0.0	0.2		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-1.9	5.8	8.2			10.0	8.6	3.8	3.0	3.3	2.9		0.7	-0.2	
Other Sustainability Indicators															
PV of public sector debt	...	...	104.1			93.8	104.3	111.6	117.3	122.8	127.3		41.4	34.0	
of which: foreign-currency denominated	...	...	79.5			67.1	77.8	82.8	86.6	90.3	92.4		25.8	23.5	
of which: external	...	...	79.5			67.1	77.8	82.8	86.6	90.3	92.4		25.8	23.5	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	11.7	9.3	11.9			13.0	15.2	21.6	18.6	14.8	13.5		7.7	5.6	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	398.6			349.7	433.3	457.8	487.1	508.8	514.3		182.5	162.7	
PV of public sector debt-to-revenue ratio (in percent)	...	...	433.4			371.5	458.1	480.6	501.9	522.6	526.4		183.4	162.9	
of which: external 3/	...	...	330.8			265.6	341.6	356.7	370.5	384.4	382.0		114.2	112.9	
Debt service-to-revenue and grants ratio (in percent) 4/	5.1	10.5	26.4			42.0	51.7	71.7	59.4	40.5	32.0		36.4	35.1	
Debt service-to-revenue ratio (in percent) 4/	5.9	11.8	28.8			44.6	54.7	75.3	61.2	41.6	32.7		36.6	35.2	
Primary deficit that stabilizes the debt-to-GDP ratio	0.8	-19.4	-35.2			18.1	-7.2	-4.1	-2.3	-1.3	-0.7		8.7	0.8	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	7.4	6.6	3.8	6.7	1.1	3.0	3.0	2.5	2.4	2.3	2.2	2.5	19.2	1.9	10.7
Average nominal interest rate on forex debt (in percent)	1.1	1.4	2.4	1.2	0.7	3.4	3.3	3.4	3.3	3.3	3.2	3.3	2.1	3.0	2.5
Average real interest rate on domestic debt (in percent)	6.7	6.1	-1.0	5.5	3.3	-6.3	3.3	9.3	3.8	-0.9	-2.0	1.2	-0.3	-0.8	-0.2
Real exchange rate depreciation (in percent, + indicates depreciation)	10.8	32.3	39.5	7.6	17.8	-23.9	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	2.6	4.4	12.3	5.8	3.4	13.1	5.9	5.8	5.6	5.6	5.6	6.9	5.5	5.5	5.5
Growth of real primary spending (deflated by GDP deflator, in percent)	34.7	-12.4	-5.9	1.7	12.3	-5.6	-3.5	9.1	1.9	5.2	6.2	2.2	11.2	1.6	7.1
Grant element of new external borrowing (in percent)	...	...	...	...	...	11.0	3.0	17.9	18.9	17.3	21.0	14.9	17.7	7.4	...

Sources: Country authorities; and staff estimates and projections.

1/Gross debt concept is used. Coverage of public sector is general government (central government plus selected SOEs according to the Joint Bank-IMF Guidance Note on LIC DSF for which data was available).

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

©International Monetary Fund. Not for Redistribution

Table 4. Mozambique: Sensitivity Analysis for Key Indicators of Public Debt, 2017-2037

	Projections							
	2017	2018	2019	2020	2021	2022	2027	2037
PV of Debt-to-GDP Ratio								
Baseline	94	104	112	117	123	127	41	34
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	94	102	106	107	108	107	96	98
A2. Primary balance is unchanged from 2017	94	103	109	112	114	115	41	55
A3. Permanently lower GDP growth 1/	94	105	112	118	124	130	44	44
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	94	101	104	108	112	115	33	16
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	94	108	118	124	129	134	44	36
B3. Combination of B1-B2 using one half standard deviation shocks	94	104	109	113	117	120	34	15
B4. One-time 30 percent real depreciation in 2018	94	135	141	147	152	157	54	53
B5. 10 percent of GDP increase in other debt-creating flows in 2018	94	114	121	127	132	137	45	37
PV of Debt-to-Revenue Ratio 2/								
Baseline	350	433	458	487	509	514	182	163
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	350	426	436	447	448	433	423	469
A2. Primary balance is unchanged from 2017	350	430	445	464	473	465	179	264
A3. Permanently lower GDP growth 1/	350	434	460	492	515	523	194	211
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	350	421	428	450	466	466	147	75
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	350	449	483	513	535	540	192	173
B3. Combination of B1-B2 using one half standard deviation shocks	350	433	448	470	484	484	150	70
B4. One-time 30 percent real depreciation in 2018	350	560	580	610	632	635	237	252
B5. 10 percent of GDP increase in other debt-creating flows in 2018	350	472	496	526	548	552	197	178
Debt Service-to-Revenue Ratio 2/								
Baseline	42	52	72	59	40	32	36	35
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	42	50	67	54	35	27	72	60
A2. Primary balance is unchanged from 2017	42	52	72	59	39	30	36	40
A3. Permanently lower GDP growth 1/	42	52	72	60	41	32	37	39
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2018-2019	42	51	68	56	38	30	33	28
B2. Primary balance is at historical average minus one standard deviations in 2018-2019	42	52	72	61	42	33	37	36
B3. Combination of B1-B2 using one half standard deviation shocks	42	50	68	57	39	30	34	28
B4. One-time 30 percent real depreciation in 2018	42	58	85	72	55	46	45	46
B5. 10 percent of GDP increase in other debt-creating flows in 2018	42	52	74	61	42	34	38	37

Sources: Country authorities; and staff estimates and projections.

1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.

2/ Revenues are defined inclusive of grants.

©International Monetary Fund. Not for Redistribution